



The Iran War and the Global Terrorism Threat

External
Operations Model

State-Sponsored
Terrorism Threats

Houthis, Gulf States and
the Nuclear Question





Quantifying Peace and its Benefits

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Please cite this report as:

Institute for Economics & Peace. The Iran War and the Global Terrorism Threat: Global Terrorism Index 2026: Special Supplement, Sydney, March 2026. Available from: <http://visionofhumanity.org/resources> (accessed Date Month Year).

Key Findings

The terrorism threat to Western nations from Iran-linked actors is significant and multifaceted, operating through four simultaneous vectors: direct Islamic Revolutionary Guard Corps (IRGC) agents, criminal proxies, Hezbollah sleeper networks, and radicalised lone offenders.

The Austin, Texas shooting on 1 March 2026; a targeted attack on an Iranian-Canadian dissident's gym in Ontario; and a car attack on a synagogue in Michigan illustrate how these threats are already materialising.

The loss of Iran's senior theocratic and military leadership has created a command vacuum. IRGC forces, including missile forces that are acting autonomously, reduce the likelihood of quick resolution.

Proxy networks, including Hezbollah, Iraqi Shia militias, and the Houthis, are also acting semi-autonomously. Their operations are less predictable and harder to deter.

Iran has the potential for regional destabilisation. Iraq has 67 militias with a minimum 160,000 fighters loyal to Iran. Iran also borders Afghanistan and Pakistan and has active separatist groups along these borders.

Hezbollah is likely to become engaged in a major ground war with Israel which will occupy its attention. Its missile capabilities have been significantly degraded; however, sleeper cells and drone attacks still pose a significant threat.

Iran has effectively closed the Strait of Hormuz, with limited attacks on tankers causing wild swings in the price of oil.

The substantial increases in oil prices will have significant effects on inflation and economic growth. If Brent crude rises to \$120 per barrel, the estimated impact is a 1.2 per cent increase in inflation and a 0.4 per cent contraction in economic growth.

Past regime changes within the region have resulted in civil wars, accompanied by significant increases in terrorism, massive refugee flows and battlefield deaths. Examples include Iraq, Afghanistan, Syria and Libya.

Without a well-planned and orchestrated post-war plan, Iran could descend into civil war, creating the breeding ground for terrorism. Iranians are also unlikely to accept a US-imposed administration.

Iraq has 119 parliamentary members aligned to Iran. Nouri al-Maliki, a likely candidate for the next Prime Ministership, also has strong pro-Iranian sympathies. The US government is strongly opposed to his appointment.

The Iraqi government faces a compounding security and stability challenge: balancing its reliance on Iran, keeping the militias onside while responding to US pressure and avoiding US military strikes.

Iran is fighting for survival while the US administration is talking of a campaign of three to five weeks. The ramifications of this conflict will extend longer.

Introduction

This paper assesses the current state of the Iran conflict, especially through the lens of terrorism, its impact on Iranian proxy organisations, the escalating threat of civil war in Iran, the potential for destabilisation in Iraq and the Levant, maritime and cyber dimensions of asymmetric warfare, the broader implications for Middle Eastern and global security, and the impact on terrorism in Western nations. The analysis draws on official government threat products, intelligence assessments, and open-source reporting current as of March 16th, 2026.

The assassination of Supreme Leader Ali Khamenei in a joint US–Israeli military operation on February 28th, 2026 has thrown the Middle East into chaos, increasing the risk of future terrorist activity both in the region and overseas while negatively impacting the global economy. His son Mojtaba Khamenei has been elected as his replacement; however, both the US and Israel have threatened to assassinate him. Operation Epic Fury (United States) and Operation Roaring Lion (Israel) represent the culmination of a 23-month escalation cycle that began after direct strikes by Israel that killed eight senior members of the IRGC. Iran retaliated with the first direct missile attack on Israel in April 2024. Conflict intensified through the June 2025 Twelve-Day War and now encompasses the entire Persian Gulf.¹

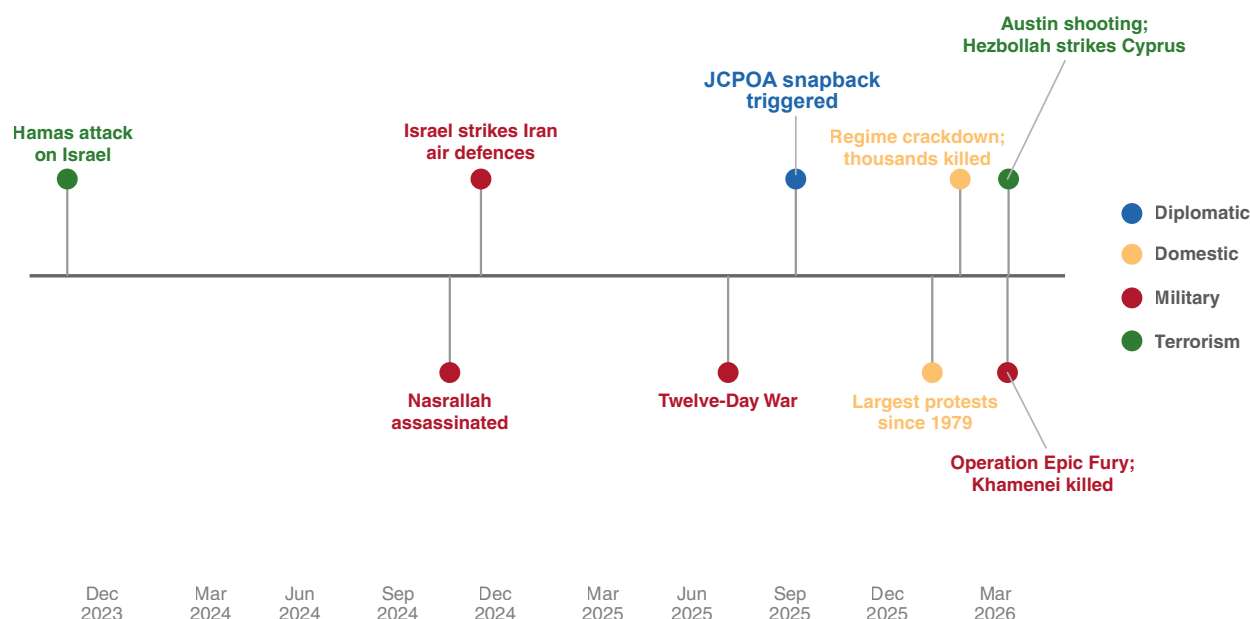
Iran's recent retaliatory strikes against US bases and civilian infrastructure across six Gulf states, its closure of the Strait of Hormuz, and the mobilisation of proxy networks from Iraq to Yemen signal a regime fighting for survival, one that has historically turned to terrorism as a tool of asymmetric warfare. Early indicators suggest the IRGC intends to sustain a prolonged campaign, leveraging global economic disruption as strategic pressure on the United States. This will likely be accompanied by a pattern consistent with Iran's long-standing deterrence model: broaden the battlefield, escalate through proxy partners, and complement conventional military action with covert operations and possibly cyber activity.²

Internationally, the legal basis for the initial US-Israeli strikes remains contested. The US has positioned itself as removing a major state sponsor of terrorism and aspiring nuclear power. The UN Secretary-General and a number of states have focused solely on the nuclear threat and characterised Operations Epic Fury and Roaring Lion as inconsistent with the UN Charter's prohibition on the use of force.³ This is a position supported by the UN Special Rapporteur on Human Rights and Counter-terrorism, who assessed that Iran had not enriched uranium to weapons-grade to levels sufficient for a nuclear bomb.⁴

FIGURE 1

Iran–Israel–US escalation timeline, October 2023 to March 2026

The escalation from proxy conflict to direct military confrontation followed a 29-month trajectory of progressively intensifying exchanges.



Source: ISW; The Guardian; IEP

From Shadow War to Open Conflict

The current crisis emerged from a rapid escalation cycle. Figure 1 traces the escalation from the Hamas attack on October 7th, 2023 through to Operation Epic Fury on February 28, 2026. The timeline illustrates the progressive intensification of the conflict across military, diplomatic, and domestic dimensions, from the targeted assassination of Nasrallah in September 2024, through the Twelve-Day War in June 2025, to the mass protests and regime crackdown that preceded the US–Israeli offensive.

After the Hamas attack on Israel on October 7th, 2023, Iran's regional proxy architecture, including Hezbollah, the Houthis, and Iraqi Shi'a militias, opened multiple fronts against Israel and US forces. Israel's assassination of Hezbollah leader Hassan Nasrallah in September 2024, followed by a ground invasion of southern Lebanon and strikes on Iran's Russian-supplied S-300 air defence systems in October 2024, fundamentally shifted the balance of power.

The June 2025 Twelve-Day War marked the first sustained aerial conflict between Israel and Iran. Israel launched Operation Rising Lion on June 13th, sending over 200 fighter jets to strike approximately 100 targets, including the Natanz, Fordow, and Isfahan nuclear facilities, destroying an estimated 50 per cent of Iran's missile stockpile and killing 30 senior Islamic Revolutionary Guard Corps (IRGC) commanders and 11 nuclear scientists. On June 22nd, the United States entered the conflict directly, deploying B-2 stealth bombers to drop 14 Massive Ordnance

Penetrators on Iran's underground nuclear sites. A ceasefire brokered by Qatar on June 24th halted fighting after approximately 1,062 Iranian and 29 Israeli deaths.

The period between the June 2025 ceasefire and February 2026 saw three pivotal developments. Firstly, the E3 nations (France, Germany, and the United Kingdom) triggered the Joint Comprehensive Plan of Action (JCPOA) 'snapback' mechanism in August 2025, reimposing comprehensive United Nations sanctions by September. Secondly, Iran's economy collapsed further. The rial plunged from roughly 1.07 million to 1.4 million per US dollar, triggering the largest protests since the 1979 revolution in late December 2025. The regime's crackdown killed between 7,000 and 43,000 people, with Amnesty International describing January 2026 as the deadliest period of repression by the Iranian authorities in decades.⁵ Thirdly, indirect US–Iran nuclear talks in Oman showed no breakthrough by mid-February, with the United States demanding zero enrichment and Iran refusing. The Iranian government wanted the ability to enrich uranium to a level needed for nuclear power plants. A standard light-weight water reactor needs three to five per cent enrichment.

On February 28th, 2026, the United States and Israel launched their coordinated offensive. Approximately 2,000 strikes hit military, nuclear, and leadership targets across Iran. Khamenei, Defence Minister Aziz Nasirzadeh, and IRGC ground forces commander Mohammad Pakpour were confirmed killed. Iran retaliated by launching missiles and drones at Israel, and US bases in Jordan, Kuwait, Bahrain, Qatar, Iraq, Saudi Arabia, and the United Arab Emirates (UAE), striking Kuwait International Airport and Dubai, and announcing the effective closure of the